

## Purpose

This policy establishes a fair, transparent, and consistent framework for evaluating employee performance at NavGurukul. It is designed to:

- Recognise and reward employee contributions aligned to NavGurukul's mission
- Create structured opportunities for growth, reflection, and honest feedback
- Ensure salary increments are linked to performance in an objective and equitable manner
- Provide clarity to all team members on what to expect from the appraisal process and when

## Policy Snapshot

**Appraisal Type:** 360-Degree Feedback (Self | Manager | Peer)

**Appraisal Cycles:** July & December

**Eligibility:** All full-time employees & full-time consultants who have completed 6+ months of service

**Increment Range:** 5% (below average) → 15% (excellent)

**Cycle Assignment:** Fixed by joining month — confirmed at hiring, no waiting for anniversary

## Scope

This policy applies to all full-time employees of NavGurukul across all teams and functions. It does not apply to interns, consultants, or contractual staff unless explicitly stated in their engagement letter.

## Appraisal Cycles

### 3.1 Fixed Bi-Annual Cycles

NavGurukul operates two fixed appraisal cycles each year. All permanent employees are placed into one of these two cycles:

| Cycle      | Review Month | Increment Effective |
|------------|--------------|---------------------|
| July Cycle | June         | 1 July              |

December                      November                      1 December  
Cycle

All appraisals happen once a year per employee. The goal is for all team members to be on a fixed cycle so that off-cycle, mid-year appraisals are the exception, not the rule.

## 3.2 Cycle Assignment (*Updated*)

An employee's appraisal cycle is assigned directly from their **joining month**, using a fixed table rather than each individual's personal work anniversary. This keeps the assignment fully predictable from day one, and caps the maximum gap between an employee's 12-month mark and their actual appraisal date at **3 months in either direction** — whether that gap is paid as arrears (cycle falls after the 12-month mark) or as an early increment (cycle falls before it).

| Joining Month     | Assigned Cycle | Example                                                                                   |
|-------------------|----------------|-------------------------------------------------------------------------------------------|
| April – September | July Cycle     | Join May → first appraisal at the July cycle, ~14 months after joining (arrears)          |
| October – March   | December Cycle | Join November → first appraisal at the December cycle, ~13 months after joining (arrears) |

A few joining months fall on the *early* side of their assigned cycle rather than the arrears side — see the worked example in Section 4.2, Scenario B. The full month-by-month mapping is maintained by the P&C team and confirmed in each employee's appointment documentation.

Once assigned, the cycle is **permanent** — the employee stays on the same cycle every year from the second appraisal onward.

## New Employee First-Year Appraisal (*Updated*)

### 4.1 Policy Intent

NavGurukul aims for every employee's first appraisal to land as close to their 12-month mark as possible, whichever way the fixed cycle falls. Because cycles are now assigned by joining month rather than by individual anniversary, an employee's first appraisal will fall into one of two scenarios:

- **Scenario A — Arrears:** the assigned cycle falls *after* the 12-month mark (review period of 12–15 months)
- **Scenario B — Early Increment:** the assigned cycle falls *before* the 12-month mark (review period of 9–12 months)

In both cases, the gap between the true 12-month mark and the actual appraisal date is capped at 3 months — a meaningfully tighter and more predictable range than under the previous anniversary-based model.

## 4.2 First-Year Increment

|                                 | <b>Scenario A — Cycle After 12-Month Mark</b>                       | <b>Scenario B — Cycle Before 12-Month Mark</b> |
|---------------------------------|---------------------------------------------------------------------|------------------------------------------------|
| <b>Review period</b>            | 12–15 months                                                        | 9–12 months                                    |
| <b>Increment effective from</b> | Date of joining (retroactive)                                       | Cycle effective date (1 July / 1 December)     |
| <b>Arrears</b>                  | Paid in the cycle month, for the gap between DOJ and the cycle date | None                                           |
| <b>Increment percentage</b>     | Standard performance band (Section 6.1)                             | Standard performance band (Section 6.1)        |
| <b>From Year 2 onward</b>       | Standard fixed 12-month cycle                                       | Standard fixed 12-month cycle                  |

 **Example — Scenario A:** Joins April, assigned cycle July, first appraisal at 15 months. Rated average — 9%. Arrears paid for April–June, new salary from July.

 **Example — Scenario B:** Joins August, assigned cycle July (following year), first appraisal at 11 months. Rated good — 11%. No arrears; new salary from July.

## 4.3 Tax Note on Arrears

### **Important — Tax Implication of Arrears**

This applies only to **Scenario A** employees. Arrears are taxable as income in the year they are received, which may temporarily increase the employee's tax liability for that month. Employees may be eligible for relief under Section 89(1) of the Income Tax Act, which allows tax to be calculated as if the arrears had been received in the year they relate to.

The P&C team will inform employees of the arrears amount in advance of payment so they can consult a tax advisor if needed. NavGurukul does not provide individual tax advice but will ensure payroll calculations are accurate and documented.

**Scenario B** employees have no arrears component — their revised salary simply begins from the cycle's effective date — so no special tax treatment applies.

## Feedback Framework — 360-Degree Approach

### 5.1 Overview

NavGurukul uses a 360-degree feedback model to ensure a holistic, multi-perspective view of each employee's performance.

| Feedback Source  | Who Fills          | Purpose                                                                                    |
|------------------|--------------------|--------------------------------------------------------------------------------------------|
| Self Reflection  | Employee           | Individual assessment of achievements, challenges, and growth areas over the review period |
| Manager Feedback | Reporting Manager  | Evaluation of performance against role KPIs, team impact, and org alignment                |
| Peer Feedback    | 3–4 selected peers | 360° view on collaboration, communication, and team contribution                           |

**Additional Consideration:** For teams with well-established competency frameworks, appraisal discussions may also include an assessment against role expectations — covering role progression, title progression, core competencies, functional skills, ownership expectations, and impact indicators.

### 5.2 Confidentiality of Peer Feedback

Peer feedback is collated and summarised by the P&C team before being shared with the reporting manager. Individual peer responses are not attributed by name, to encourage honesty and reduce social friction.

### 5.3 Peer Nomination Process

Each employee nominates 3–4 peers who they have worked closely with during the review period. The reporting manager reviews nominations and may add or adjust peers to ensure a representative sample. Peers are informed that feedback forms part of a formal appraisal.

### 5.4 Weightage

While all three feedback sources are considered holistically, the broad weighting in the final increment recommendation is:

- **Manager feedback** carries the highest weight — direct view on work quality, output, and team goals alignment
- **Self reflection** provides important context about intent, challenges, and growth mindset

- **Peer feedback** provides a qualitative view of collaboration and cultural fit

The exact weighting may be adjusted by the P&C team depending on role type and available feedback quality.



## Performance Bands & Increment Structure

### 6.1 Performance Rating Bands

| Performance Band                   | Description                                                        | Increment Range | Benchmarking Context (India)                                     |
|------------------------------------|--------------------------------------------------------------------|-----------------|------------------------------------------------------------------|
| Below Average                      | Performance needs significant improvement; missed key expectations | 5% – 8%         | Below industry median (~8.8%); signals need for improvement plan |
| Average                            | Meets role expectations; delivers on most objectives consistently  | 8% – 10%        | Aligned with India median (9–9.5% as per Deloitte/WTW 2025)      |
| Good / Above Average               | Consistently exceeds expectations; strong contributor              | 10% – 13%       | ~1.2x average performers per WTW India 2025 norms                |
| Excellent (Eligible for Promotion) | Exceptional impact; role model for team and org values             | 13% – 15%       | Top performer range; WTW notes top performers at ~1.7x average   |

### 6.2 Determination of Increment Percentage

The final increment within a band is determined by three factors:

- **Performance quality** — drawn from the 360-degree feedback forms
- **Tenure in the review period** — particularly relevant for new employees in their first cycle (see Section 4)
- **Consolidated feedback score** — the manager's summary recommendation after reviewing all inputs

No increment recommendation is communicated to an employee without going through the P&C review and documentation step.

### 6.3 No Automatic Entitlement

Completion of a review cycle does not automatically entitle an employee to an increment.

Employees under a Performance Improvement Plan (PIP) at the time of the cycle will have their appraisal deferred until the PIP period concludes.

In certain cases, a salary increment may not be granted even when performance is assessed. This may occur where an employee's current compensation is already above the expected range for their role, level, or demonstrated performance. For example, an employee may have been hired at a higher compensation level based on anticipated scope, experience, or expectations that have not yet been fully met. In such situations, the organisation may choose to maintain current compensation until there is greater alignment between role expectations, performance, and compensation levels.



## Appraisal Process & Timeline

| Step | Activity                                                       | Owner              | Timeline (before cycle month)        |
|------|----------------------------------------------------------------|--------------------|--------------------------------------|
| 1    | P&C announces appraisal window and shares forms                | P&C Team           | 6 weeks before cycle (May / October) |
| 2    | Employee completes Self Reflection Form                        | Employee           | Within 2 weeks of announcement       |
| 3    | Peer nominations submitted & peer forms completed              | Employee + Peers   | Weeks 2–3                            |
| 4    | Manager reviews all inputs and completes Manager Feedback Form | Reporting Manager  | Weeks 3–4                            |
| 5    | P&C compiles inputs and calculates increment recommendation    | P&C Team           | Weeks 4–5                            |
| 6    | One-on-one appraisal conversation between manager and employee | Manager + Employee | Week 5                               |
| 7    | Final increment communicated and updated in payroll            | P&C Team           | 1st of cycle month (July 1 / Dec 1)  |



Timelines may be adjusted in exceptional circumstances. Any changes will be communicated by the P&C team at least 2 weeks in advance.



## Roles & Responsibilities

### Employee

- Complete the Self Reflection Form honestly and on time

- Nominate relevant peers for peer feedback
- Attend the appraisal conversation with their manager
- Raise any concerns about the process with the P&C team

### **Reporting Manager**

- Complete the Manager Feedback Form for each direct report
- Review peer feedback inputs before the appraisal conversation
- Conduct the appraisal conversation with empathy and objectivity
- Submit increment recommendations to P&C within the stipulated window

### **People & Culture Team**

- Announce and manage the appraisal calendar
- Distribute and collect all feedback forms
- Compile and review inputs; calculate increment recommendations
- Ensure consistency and fairness across teams
- Maintain records of all appraisals
- Handle any grievances related to the appraisal process



## **Grievance & Appeal Process**

If an employee believes their appraisal outcome was unfair or that the process was not followed correctly, they may raise a formal grievance with the P&C team within 15 working days of the increment communication.

The P&C team will review the grievance and seek inputs from the relevant manager within 10 working days.

A resolution will be communicated in writing within 20 working days of the grievance being raised.

The P&C team's decision is final in cases where the process was followed correctly. Where a process gap is identified, the appraisal may be reopened.



## **Confidentiality**

All appraisal-related documents, feedback forms, and increment details are confidential. Employees should not disclose their increment percentage or feedback summaries to colleagues. Breach of confidentiality may be treated as a disciplinary matter.



## **Policy Review**

This policy will be reviewed annually by the P&C team. Amendments may be made in response to organisational changes, legal requirements, or feedback from employees and managers. Any significant changes will be communicated to all staff at least 30 days before taking effect.

---

**Version 1.3 · Effective [date to be confirmed] · Owned by: People & Culture Team, NavGurukul**  
*Changelog from v1.0: Section 3.2 (Cycle Assignment) moved from anniversary-nearest-cycle to a fixed joining-month lookup table. Section 4 (New Employee First-Year Appraisal) split into Scenario A (arrears, cycle after 12-month mark) and Scenario B (early increment, cycle before 12-month mark), replacing the single arrears-only mechanism. Changelog from v1.1: Removed the discretionary upward percentage adjustment for Scenario A (arrears). The increment percentage is now determined identically for Scenario A and Scenario B — performance only, no adjustment for review-window length. Changelog from v1.2: Collapsed the two step-by-step scenario tables and the separate rationale section into a single comparison table (Section 4.2). Removed explanatory/justification language — policy states what happens, not why.*